

Understanding Initial Public Offerings

Companies require substantial funds for business expansion, new technology, product development, and reducing debts. To raise a large amount of capital, companies offer their ownership shares to the public through the stock market. When shares are offered to the public for the first time, the process is known as an **Initial Public Offering (IPO)**. It allows investors to participate in the company's growth, while the company gets funds to scale operations.

What is an IPO?

IPO stands for **Initial Public Offering**. It is a process in which a private company becomes a publicly listed company by selling its shares on a stock exchange such as BSE or NSE. After listing, the public can freely buy and sell the company's shares in the open market.

This transformation marks a significant milestone in a company's journey, opening doors to institutional and retail investors worldwide. The IPO process involves rigorous regulatory scrutiny and detailed financial disclosures to protect investor interests.



Objectives of an IPO

Companies launch IPOs to achieve multiple strategic and financial goals that support long-term growth and sustainability.



Business Expansion

Launching new branches,
entering foreign markets



Technology Upgrade

Investing in research &
development, new tools and
machinery



Reducing Debt

Paying off loans to strengthen
financial position



Brand Recognition

Public listing increases trust and visibility



Exit Route for Investors

Promoters and early investors can partially
sell their stake



IPO Pricing Methods

The price depends on the company's valuation and market demand. Two primary methods determine how IPO shares are priced before being offered to investors.

Fixed Price Issue

A fixed share price is announced in advance. Investors know exactly what they will pay per share when they apply. This method provides certainty but less flexibility in price discovery.

Book Building Issue

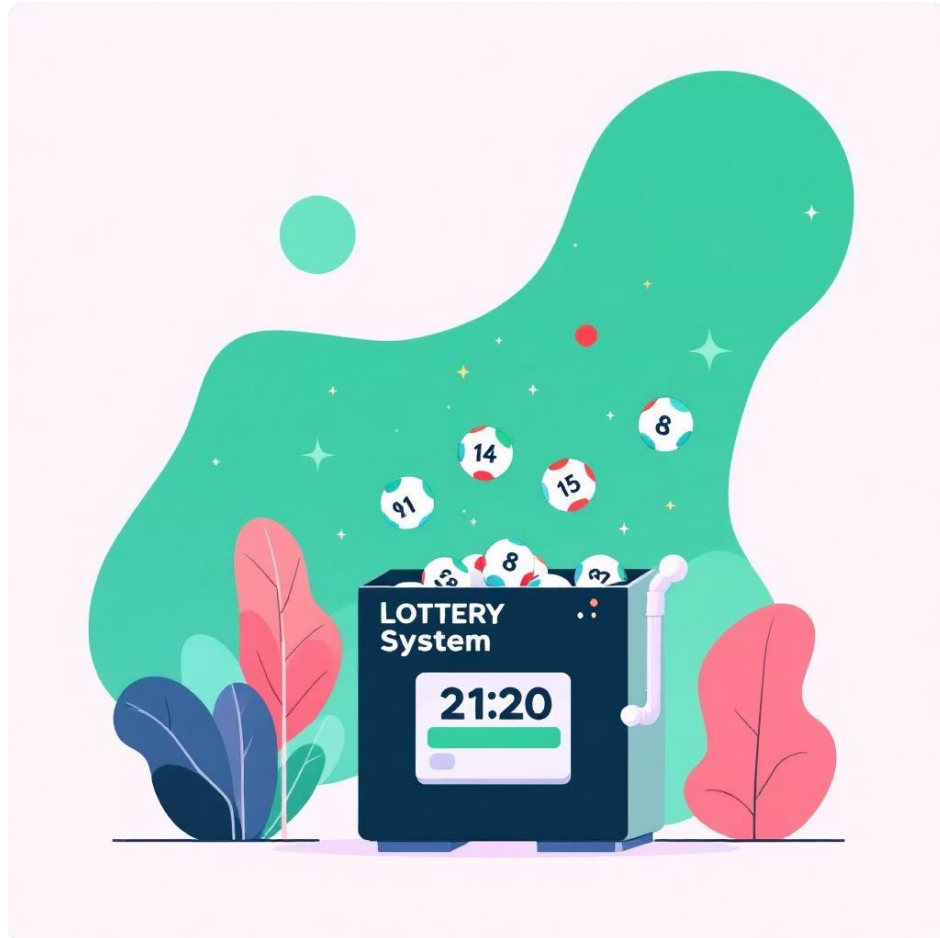
A price band is provided; final price depends on how investors bid. This dynamic pricing mechanism allows market forces to determine the optimal price based on demand, typically resulting in better price discovery.

IPO Process Flowchart

The journey from private company to publicly traded entity involves multiple regulatory and operational steps, ensuring transparency and investor protection.



Share Allotment in an IPO



Shares are allotted in **lots** 4 fixed bundles of shares. If demand exceeds supply, allotment is done through a **lottery system** to ensure fair distribution among all applicants.

Possible Outcomes:

- **Full allotment** – You receive all shares you applied for
- **Partial allotment** – You receive some but not all shares
- **No allotment** – If oversubscribed heavily, you may receive nothing

The allotment process is regulated by SEBI to maintain transparency and fairness for all investor categories.

Benefits of IPO for Companies



Access to Capital

Companies gain access to a large amount of capital from public markets, enabling significant business expansion and strategic initiatives without taking on additional debt.



Market Visibility

Better market visibility and reputation through increased media coverage, analyst reports, and public awareness. This enhanced profile attracts customers, partners, and talent.



Corporate Governance

Improved corporate governance standards and transparency requirements strengthen internal processes, reduce risks, and build stakeholder confidence in management practices.



Future Fundraising

Ability to raise funds more easily in future through follow-on offerings, debt instruments, or equity dilution at favorable terms based on established market presence.

Benefits of IPO Investing for Investors

Participating in IPOs offers investors unique opportunities to gain early access to promising companies and potentially generate significant returns.

Wealth Creation

Strong IPOs can multiply investment over the long term. Historical examples like Infosys and Wipro have delivered exceptional returns to early investors through sustained growth.

Listing Gains

Shares may list at a higher price than the issue price, giving quick profits on the first day of trading when demand exceeds supply.

Ownership Stake

Investors become shareholders in the company, gaining voting rights and the ability to participate in the company's growth journey and governance decisions.

Liquidity

Shares can be sold anytime in the stock market after listing, providing flexibility to exit positions based on market conditions or personal financial needs.

❏ **Example:** Wipro IPO long-term investors earned extremely high returns due to stock splits and bonus issues over decades, demonstrating the wealth creation potential of investing in quality companies early.

Risks Involved in IPO Investment



While IPOs offer exciting opportunities, they also carry significant risks that investors must carefully evaluate before committing capital.

- **Listing at Discount**
Shares may list below the issue price, causing immediate losses if market sentiment is negative or the IPO was overpriced relative to fundamentals.
- **Performance Risk**
Company may fail to deliver expected performance after listing due to operational challenges, market competition, or management issues.
- **Market Volatility**
Market fluctuations affect newly listed stocks more severely, leading to high price swings during initial trading days as price discovery occurs.
- **Speculation Risk**
High speculation during initial trading days can create artificial price movements disconnected from fundamental value, increasing risk for investors.

Due diligence and company research are essential. Investors should thoroughly review the prospectus, understand the business model, assess financial health, evaluate management quality, and consider market conditions before investing.

How to Apply for an IPO

Applying for an IPO in India has become convenient and accessible through digital platforms. Investors need three essential accounts to participate.

Demat Account

Holds shares in electronic form securely

Trading Account

Facilitates buying and selling of shares

Bank Account

Linked for payment and fund transfers

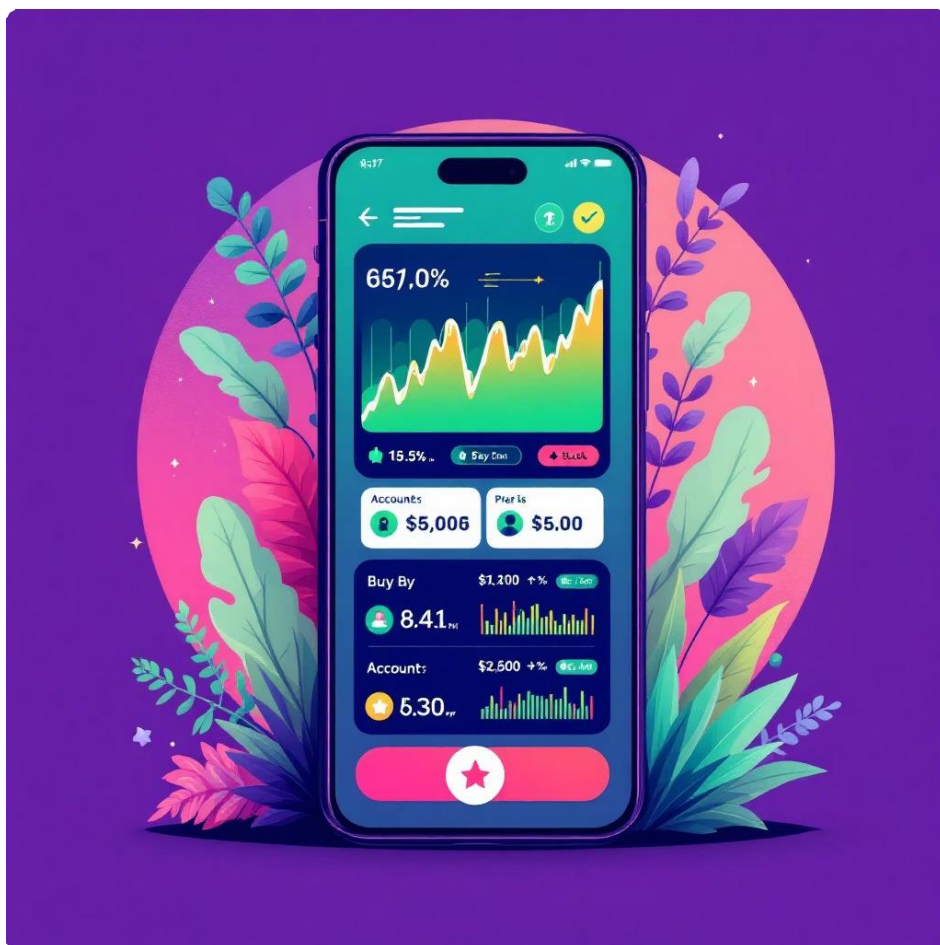
Ways to Apply

Online Application

Use UPI/ASBA through banks and broker apps such as Zerodha, Groww, Upstox, or Angel One. This method is quick, convenient, and allows instant blocking of funds in your bank account.

Offline Application

Apply through brokerage firms by filling out physical application forms. While less common today, this option remains available for investors who prefer traditional methods.



Conclusion

IPO investing provides an excellent opportunity for wealth creation and allows the general public to participate in the growth of strong companies. However, investors must evaluate risks, analyze fundamentals, and maintain a long-term perspective for better returns.



THANK YOU

THE COMPLETE GUIDE TO IPO INVESTING: FROM PRIVATE COMPANY TO PUBLIC INVESTOR

THE COMPANY'S JOURNEY (WHY & HOW TO GO PUBLIC)

WHY IPO? (OBJECTIVES)



GROWTH CAPITAL
Growth capital growth & canrnth



ACQUISITIONS
Acquisitionen or artt macy
tondents and retures



DEBT REDUCTION
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reduction



BRAND VISIBILITY
Brand visibility
brandmars

REQUIREMENTS & PROCESS



1. FINANCIAL HEALTH & TRACK RECORD



2. CORPORATE GOVERNANCE & COMPLIANCE



3. APPOINT UNDERWRITERS & ADVISORS



4. FILE DRHP WITH REGULATOR (e.g., SEBI)



5. ROADSHOW & MARKETING



6. PRICE BAND FIXING & BOOK BUILDING

IPO DAY: GOING PUBLIC

THE INVESTOR'S JOURNEY (FOR BEGINNERS)

PREREQUISITES (GETTING STARTED)



1. BANK ACCOUNT (LINKED)



2. DEMAT ACCOUNT (SHARE HOLDING)



3. CHOOSE BROKER (TRADING PLATFORM)

STEPS TO INVEST & KEY DETAILS



4. RESEARCH COMPANY & READ RHP (RED HERRING PROSPECTUS)
Understand Business, Risks, Financials.



5. APPLY DURING IPO WINDOW (BIDDING)
Select Lot Size (Min Shares) & Price within Band.



6. ALLOTMENT STATUS CHECK
Shares Credited or Refund Initiated.



7. LISTING DAY & TRADING BEGINS
Shares Trade on Exchange. Monitor Performance.

KEY TERMS & TIPS

- **LOT SIZE:** Minimum number of shares you must bid for.
- **PRICE BAND:** The price range within which you can bid.
- **CUT-OFF PRICE:** The final price at which shares are issued.
- **TIP:** Invest for the long term. Don't just chase listing gains. Do your own research.

CONTRIBUTORS:



PRABHU SINGH
ROLL NO.-30
REG. NO.- 12306895



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REG. NO.- 12306895



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